QA RETEST REPORT · EAI-QA-TR-002 · SUPERSEDES TR-001 VERDICT

Harborview Commons — Retest After Fixes

Executed 16 Oct 2026, 22:14–22:24 IST · gemini-2.5-flash · PostgreSQL 17.11 · Clean deal **DL-1007** (no prior documents or chat)
Input: Harborview_Commons_Loan_Package.pdf (12 pp) uploaded as "Loan Application" · Verified in the web UI at http://localhost:3000

1. Result

GO*	1.20x	Marginal	6 / 6	+1
VERDICT	DSCR (EXPECTED 1.20X)	GRADE (EXPECTED)	ORIGINAL DEFECTS CLOSED	NEW DEFECT FOUND & FIXED

All numbers now match the client's PDF and the fixed formulas exactly. The deal took on the client's identity. Every AI view (workspace, Copilot, memo) is built from the uploaded document, and the memo recommends **Approve with Conditions** at 80% package completeness.

* The one step not driven by the browser is the file drop itself (see §5). The same upload API was called directly, and everything after it was verified in the browser.

2. Before vs After

Check	Expected	TR-001 (before)	TR-002 (after)	Result
Amortization used (termMonths)	360	**120 (loan term)**	360	**PASS**
Annual debt service	$1,439,888	**$2,549,095**	$1,439,888	**PASS**
DSCR	1.20x	**0.68x**	1.20x	**PASS**
LTV / Debt yield	71.15% / 9.34%	71.15% / 9.34%	71.15% / 9.34%	**PASS**
Grade	Marginal	**Weak**	Marginal	**PASS**
Existing debt (doc: "repaid at closing")	$0	not extracted	$0 extracted & applied	**PASS**
Deal identity	Harborview / Austin, TX	**Meridian at Brickell / Miami**	Harborview Commons Holdings LLC · Austin, TX · Meridian Ridge	**PASS**
Occupancy conflict (96% vs 95%)	Flagged	**Missed**	"Conflicting Source Values" card, p.2/7 vs p.3	**PASS**
Workspace sources	Real document + page	**Fake ("Term Sheet, V2")**	Harborview_Commons_Loan_Package.pdf, page N	**PASS**
Conditions tracker	Outstanding items	Generic	Tax returns, bank stmts, KYC, title, insurance + DSCR exception	**PASS**
Copilot: outstanding docs	Tax returns, bank, KYC…	**"Rent roll" (wrong)**	All 5 correct, cites the PDF	**PASS**
Copilot: tax reassessment	+$55–70K/yr	**"Unknown"**	+$55–70K, cites the PDF; honestly says DSCR impact not stated	**PASS**
Memo recommendation	Approve w/ Conditions or Decline	**Decline (on 0.68x)**	Approve with Conditions (on 1.20x)	**PASS**
Memo package completeness	<100% (items outstanding)	**100%**	80%	**PASS**

Stress tests vs base 1.20x	All below base	—	NOI −10% 1.08x · Rate +100bp 1.10x · Occ 90% 1.13x · OpEx +10% 1.10x	**PASS**
Simulated-data transparency	Labelled	Not labelled	Amber notice on deals with no documents (seen on DL-1002, DL-1007 before upload)	**PASS**

3. Defect Status

ID	Defect	Fix (file)	Status
DEF-01	Loan term used as amortization	Prompt defines `termMonths` as amortization; deterministic `amortization_months()` guard reads it from extracted fields (9/9 unit cases pass) — `main.py`	**Closed**
DEF-02	Copilot blind to documents	`doc_context()` added to chat prompt — `main.py`	**Closed**
DEF-03	Mixed deal identity	Identity extracted; applied from Loan Applications; warning for other doc types on a different property — `main.py`, `Underwriting.tsx`	**Closed***
DEF-04	Simulated workspace sources	Workspace built from documents when present; otherwise labelled "AI-simulated" — `main.py`, `Underwriting.tsx`	**Closed**
DEF-05	Memo completeness 100%	Memo prompt receives documents + outstanding items — `main.py`	**Closed**
DEF-06	Internal conflict missed	`internalConflicts` + `outstandingItems` extracted; shown in UI — `main.py`, `Underwriting.tsx`	**Closed**
DEF-07 *(new)*	Top-bar "Active Deal" and sidebar card stayed stale after upload (showed "Highland Terrace $8.5M, DSCR 1.29x" while the page showed Harborview $18.5M, 1.20x)	Upload/delete now also reloads the Dashboard deal list — `Dashboard.tsx`, `Underwriting.tsx`	**Fixed, type-checked; not yet browser-verified**

* There is still no "New deal" button for onboarding a client. Today a client package has to be uploaded onto an existing pipeline deal, which then takes on that client's identity.

4. Evidence (web UI screenshots)

ACTIVE FACILITY
Highland Park Apartments …
$8.5M · Multifamily
DSCR 1.29x · LTV 65.38%

NAVIGATION
- Deal Pipeline & Inbox
- Underwriting Workspace
- Credit Memorandum
- Extraction Audit
- Syndication & Term Sheets
- Covenant Compliance

AI-generated data
Content is produced live by AI via the backend. Ratios (DSCR, LTV, debt yield) are computed deterministically.

UNDERWRITING WORKSPACE

Harborview Commons Holdings LLC · Acquisition

Harborview Commons · Multifamily · Austin, TX · Sponsor Meridian Ridge Capital Partners, LP

AI generated · 10:15:47 PM Regenerate

DSCR	LTV	DEBT YIELD	GRADE	REQUESTED
1.2×	71.15%	9.34%	Marginal	$18.5M
Min 1.25×	Max 75%			6.75% · 30 yrs

Extraction Verification & Attribution

The acquisition loan for Harborview Commons is strong on LTV but falls short of the minimum DSCR requirement at 1.20×. Key risks include potential tax reassessment, significant near-term lease rollover, and identified immediate repair needs. Several critical closing documents and a plan to address the DSCR deficiency are currently outstanding.

FIELD	EXTRACTED VALUE	SOURCE	CONFIDENCE
Requested Loan Amount	$18,500,000	Harborview_Commons_Loan_Package.pdf, page 1	100%
Appraised As-Is Market Value	$26,000,000	Harborview_Commons_Loan_Package.pdf, page 2	100%
Trailing-12 Net Operating Income (NOI)	$1,728,359	Harborview_Commons_Loan_Package.pdf, page 2	100%
Requested Interest Rate	6.75% fixed	Harborview_Commons_Loan_Package.pdf, page 2	100%
Loan Term	10 years (120 months)	Harborview_Commons_Loan_Package.pdf, page 2	100%
Amortization	30 years (360 months)	Harborview_Commons_Loan_Package.pdf, page 2	100%
Physical Occupancy	95.0%	Harborview_Commons_Loan_Package.pdf, Page 2, Page 7	100%
Guarantor Net Worth	$33,100,000	Harborview_Commons_Loan_Package.pdf, page 10	100%

Conflicting Source Values

Physical Occupancy — Medium

95.0%	96%
Harborview_Commons_Loan_Package.pdf, Page 2, Page 7	Harborview_Commons_Loan_Package.pdf, Page 3

AI recommendation: Reconcile the discrepancy in physical occupancy reported within the loan application.

Credit Policy & Conditions Tracker

CONDITION	CATEGORY	OWNER	STATUS
Guarantor Tax Returns — Guarantor's 2024 and 2025 Federal Tax Returns are required for review.	Financial	Borrower	Requested
Sponsor Bank Statements — Provide the last three months of bank statements for the Sponsor.	Financial	Borrower	Requested
KYC / OFAC Certification — KYC / OFAC Certification is needed for compliance review.	Legal	Borrower	Requested
Title & Survey Documents — Submit Title Commitment and ALTA Survey for the property.	Legal	Broker	Requested
Evidence of Insurance	Insurance	Borrower	Requested

Loan Documents (PDF / Scans)

Auto-detect

Drop a PDF or scan here, or click to upload
Text PDFs, scanned PDFs, JPG/PNG photos · AI OCR for scans · max 20 MB

Harborview_Commons_Loan_…
Loan Application · 12 pp · 392 KB

Underwriting Copilot

- Why is this file flagged?
- Summarize the open conditions
- What is the biggest credit risk?

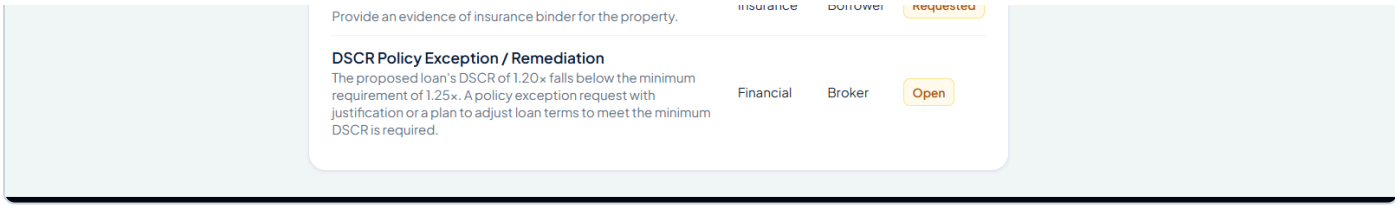
Ask about this deal…

Risk Flags

- The proposed loan's DSCR of 1.20× fails the minimum requirement of 1.25×.
- Real estate taxes are expected to be reassessed post-sale, potentially increasing annual taxes by $55,000–$70,000.
- Significant near-term lease rollover exposure with 25.8% of units expiring in Q4 2026.
- Immediate repairs totaling $38,500 have been identified, requiring attention post-closing.
- A small percentage of units (4 units / $9,850) are currently experiencing delinquency greater than 30 days.

Debt Service (deterministic)

NOI	$1,728,359
Proposed debt service	$1,439,888
Existing debt service	$0
Total	**$1,439,888**



Underwriting Workspace (DL-1007) after upload: client identity, DSCR 1.2x / LTV 71.15% / Marginal, sources cite the PDF with pages, occupancy conflict, document-based conditions, deterministic debt service $1,439,888. The stale top-bar/sidebar here is DEF-07, since fixed.

ACTIVE FACILITY
Highland Park Apartments ...
$8.5M · Multifamily
DSCR 1.29x · LTV 65.38%

NAVIGATION
Deal Pipeline & Inbox
Underwriting Workspace
Credit Memorandum
Extraction Audit
Syndication & Term Sheets
Covenant Compliance

AI-generated data
Content is produced live by AI via the backend. Ratios (DSCR, LTV, debt yield) are computed deterministically.

CREDIT MEMORANDUM

Harborview Commons

Harborview Commons Holdings LLC · Multifamily · Austin, TX

$18.5M AI generated · 10:22:31 PM Regenerate

AI CREDIT OFFICER RECOMMENDATION

Approve with Conditions

The loan request for Harborview Commons presents a solid credit opportunity with strong sponsorship, desirable multifamily collateral in Austin, TX, and a conservative LTV of 71.15% against an appraised value of $26,000,000. However, the proposed DSCR of 1.20× falls below Apex Commercial Lending's minimum policy threshold of 1.25×. Approval is recommended subject to conditions including an increase in sponsor equity to reduce loan amount, or verification of post-closing revenue enhancement to achieve the required DSCR, alongside clearance of all outstanding document items.

PACKAGE COMPLETENESS
80%

DSCR	LTV	DEBT YIELD	LENDING GRADE
1.2×	71.15%	9.34%	Marginal

Executive Summary

Harborview Commons Holdings LLC is requesting an $18,500,000 first-mortgage acquisition loan for Harborview Commons, a 120-unit multifamily property located at 4800 Riverside Bend Drive, Austin, Texas. The purchase price is $25,000,000, supported by an as-is appraised value of $26,000,000 as of September 30, 2026. The loan carries a fixed interest rate of 6.75%, a 30-year amortization schedule, and a 10-year term. The property generates a T-12 NOI of $1,728,359 with stable historical occupancy near 95%. While the LTV of 71.15% complies with the 75% max limit, the proposed DSCR of 1.20× fails the lender's 1.25× minimum requirement.

Sponsor Analysis

The borrowing entity, Harborview Commons Holdings LLC, is sponsored by Meridian Ridge Capital Partners, LP. The key principal and carve-out guarantor is Daniel R. Whitaker, who exhibits exceptional financial strength with a verified net worth of $33,100,000, liquid assets of $6,490,000, and a prime credit score of 782 as of August 2026. The sponsor is contributing $7,350,000 in cash equity toward the $25,000,000 acquisition price, demonstrating strong alignment of interest and substantial skin in the game.

Market Analysis

The collateral is located in Austin, TX (specifically submarket Riverside), characterized by robust multifamily fundamentals and steady demand driven by job growth. The property is situated in Zone X, outside the 100-year floodplain. Key market dynamics include average in-place rents of $2,017 across 120 units built in 2004. Real estate taxes are expected to be reassessed following the sale, which may increase annual tax liabilities by $55,000 to $70,000, posing a near-term expense headwind that has been evaluated in our underwriting stress tests.

Collateral Analysis

Harborview Commons is a 120-unit garden-style multifamily asset constructed in 2004, featuring professional property management by Lonestar Residential Management, Inc. Physical occupancy stands at a healthy 95.0% (with pre-leased occupancy at 96.7%). Property performance is supported by an effective gross income of $2,888,040 and a T-12 NOI of $1,728,359. Immediate physical needs total $38,500 for ADA signage, two HVAC units, and minor trip hazards. Delinquencies greater than 30 days are manageable at 4 units ($9,850), and replacement reserves are adequately set at $30,000 ($250/unit/year).

Strengths

- Conservative LTV of 71.15%, well within the 75% maximum lender policy limit.
- Strong guarantor profile with $33.1M in net worth, $6.49M in liquidity, and a 782 credit score.
- Significant sponsor equity contribution of $7,350,000 (nearly 30% of purchase price).
- Stable historical occupancy averaging approximately 95% with strong in-place rent collections of $2,017/unit.

Weaknesses

- Proposed DSCR of 1.20× fails to meet Apex Commercial Lending's 1.25× minimum threshold.
- Post-acquisition real estate tax reassessment risk estimated to increase expenses by $55k–$70k.
- Concentrated near-term lease rollover with 25.8% of units expiring in Q4 2026.
- Outstanding underwriting items including guarantor tax returns, bank statements, and title documents.

Mitigants

- Require a minor loan amount reduction or additional sponsor cash reserve escrow to bridge the DSCR shortfall to 1.25×.
- Establish a real estate tax escrow reserve funded at closing to cover potential post-sale assessment spikes.
- Strong guarantor liquidity ($6.49M) provides robust contingent backing for near-term lease rollover and operational variances.
- Condition final loan commitment on the receipt of all outstanding third-party reports and KYC documentation.

Stress Tests

NOI -10%	1.08x	Fail
Interest Rate +100 bps	1.10x	Fail

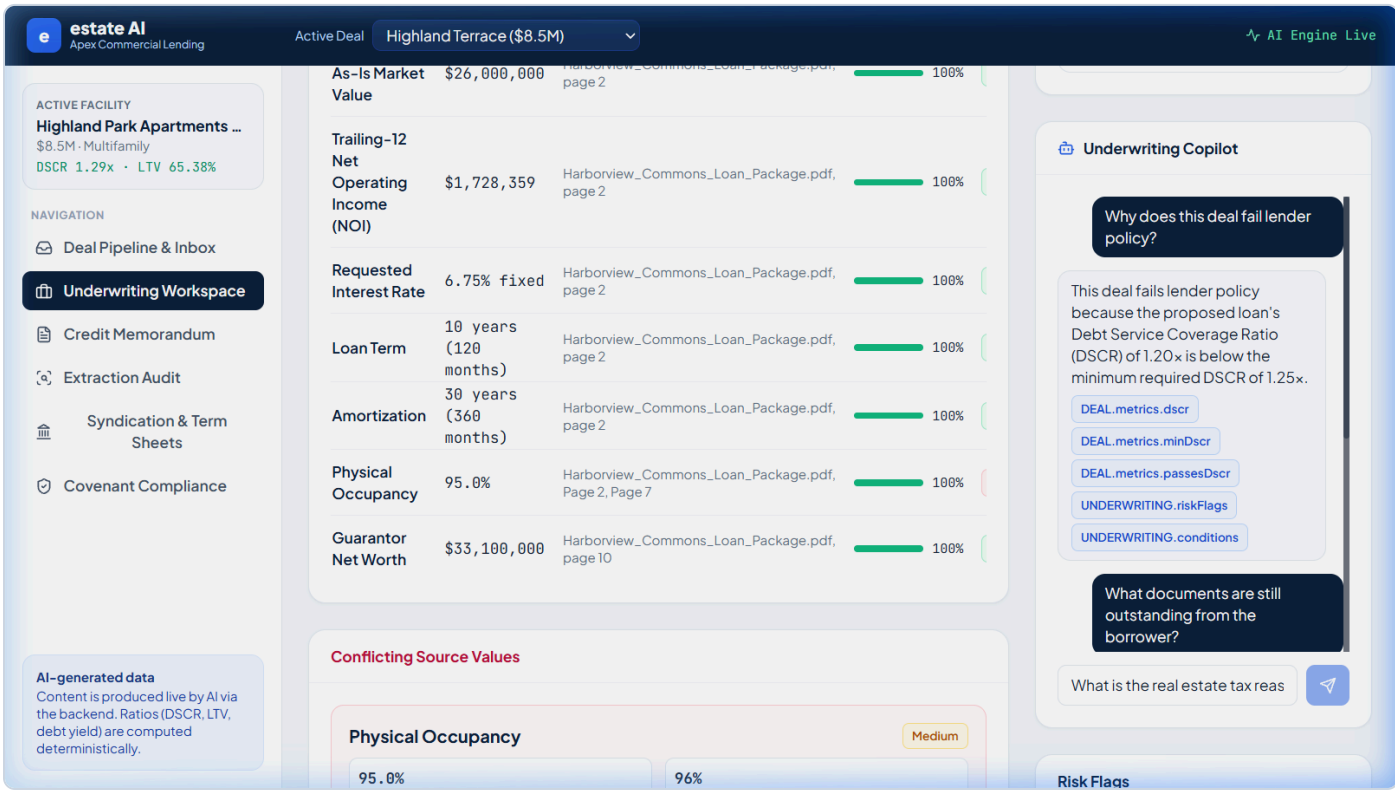
Lender Placement Matches

Apex Commercial Lending 88% fit
Standard Core Multifamily Permanent Debt

Direct internal fit; excellent LTV compliance though requires loan sizing



Credit Memorandum: Approve with Conditions, 80% completeness, Harborview names throughout, stress tests below the 1.20x base, tax-escrow and DSCR mitigants.



Copilot answering from deal metrics and the uploaded document.

5. Test Limitations

> **File drop not automated:** the browser automation cannot open the OS file picker and is not allowed to run page JavaScript, so it could not drop the file onto the dropzone. The PDF was sent to the **same endpoint the dropzone calls** (`POST /api/deals/DL-1007/documents/upload` , multipart, doc_type "Loan Application"). Every screen after that was verified in the browser.
> **To complete manually (about 2 min):** open deal **DL-1002 "Westlake Plaza"** (still clean), choose "Loan Application", drag the PDF onto the dropzone, and confirm the green notice, the same numbers as above, and that the top bar and sidebar update to Harborview (DEF-07).

> The AI is still slow on some steps: extraction about 40–55 s, memo about 60 s. Show progress text for these. Deal DL-1001 still holds data from the first (buggy) run and can be ignored or regenerated.